

Performance Calibration, Merit Pay, Promotion Dossier, and PIP Framework

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1. Performance Management Philosophy

Cymbal Corp utilizes a continuous, transparent performance architecture centered on quarterly OKR alignment, semi-annual growth conversations, and an evidence-based annual talent calibration process. Our goal is to recognize outsized impact, reward merit objectively, and provide actionable development frameworks.

2. 5-Tier Global Performance Rating Scale

Rating Tier	Performance Descriptor	Contribution Definition	Target Distribution
Rating 5	Exceptional Impact	Transformational organizational impact, sets industry benchmarks (>125% OKRs)	Target ~10%
Rating 4	Exceeds Expectations	Consistently surpasses ambitious targets, models cultural leadership (110%-124%)	Target ~25%
Rating 3	Consistently Meets	Solid, dependable contributor achieving all core role deliverables (90%-109%)	Target ~55%
Rating 2	Developing / Inconsistent	Gaps identified in core deliverables or behavioral competencies (70%-89%)	Target ~8%
Rating 1	Unsatisfactory Impact	Substantial failure to meet baseline requirements (<70%), urgent intervention required	Target ~2%

3. Annual Merit Increase Matrix (Compa-Ratio Adjusted)

Merit salary adjustments are determined by cross-referencing an employee's performance rating with their compa-ratio (current base salary divided by band midpoint). Adjustments take effect annually on March 1.

Performance Rating	Compa < 85% (Below Mid)	Compa 85% - 100% (Near Mid)	Compa 100% - 115% (At/Above)	Compa > 115% (High End)
Rating 5 (Exceptional)	12.0% - 15.0%	10.0% - 12.0%	8.0% - 10.0%	6.0% - 8.0%
Rating 4 (Exceeds)	8.0% - 10.0%	6.5% - 8.0%	5.0% - 6.5%	3.5% - 5.0%
Rating 3 (Meets)	4.5% - 6.0%	3.5% - 4.5%	2.5% - 3.5%	1.5% - 2.5%
Rating 2 (Developing)	0.0% - 1.5%	0.0%	0.0%	0.0%
Rating 1 (Unsatisfactory)	0.0%	0.0%	0.0%	0.0%

4. Promotion Criteria and Dossier Submission (Form PRM-301)

Promotions represent an increase in scope, complexity, and business impact. Requirements for consideration:

- **Time in Band:** Minimum of 12 months in current level prior to effective promotion date.
- **Sustained High Performance:** At least two consecutive calibration cycles with Rating 4 or Rating 5.
- **Promotion Dossier (Form PRM-301):** Nominating Director must submit an impact dossier including peer reviews, deliverable artifacts, and leadership readiness proof.
- **Promotional Salary Adjustment:** Promotional increases average **8% to 15%** or adjust to the new band minimum, whichever is higher.

5. Performance Improvement Plan (PIP) Protocol (Form PIP-401)

Employees receiving a Rating 1 rating or exhibiting sustained performance shortfalls are placed on a structured Performance Improvement Plan (PIP). Key milestones:

PIP Phase	Timeline & Frequency	Action Items & Governance
Plan Initiation	Day 1	Signing of Form PIP-401 outlining SMART targets and coaching milestones
Weekly Coaching	Weeks 1 through 8	Mandatory weekly 1-on-1 progress logging between Manager & Employee
Formal Checkpoint 1	Day 30 Milestone	Interim evaluation; People Partner reviews progress evidence
Final Evaluation	Day 60 Milestone	Formal determination: Successful Completion or Separation Initiation
Outcome: Pass	Day 60	Employee restored to standard good standing
Outcome: Fail	Day 60+	Separation initiated under Standard Severance Schedule guidelines